



A Once-in-a-Quarter-Century Opportunity?

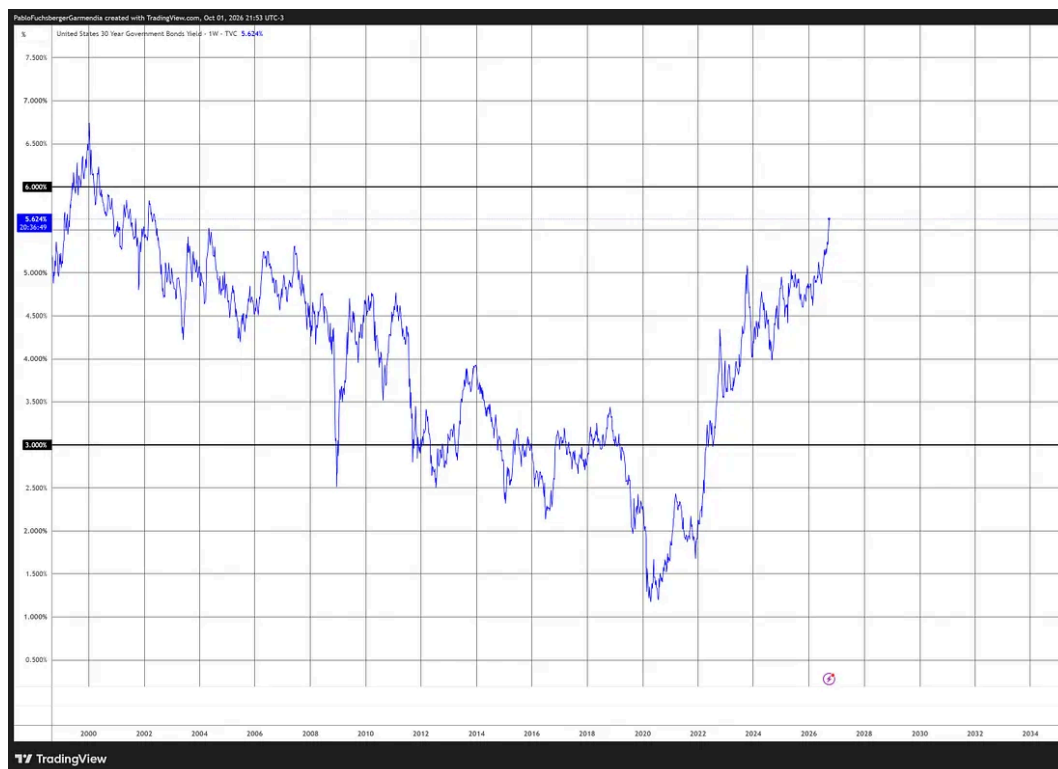


Pablo Fuchsberger · 7 min read · Just now



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It has been a very long time since the 30-year U.S. Treasury yield has been at levels like these. Thanks to the charts from our friends at TradingView, we can easily visualize the evolution of the 30-year Treasury yield using the ticker **US30Y**.



30 year treasury bond yield

Looking at that chart raises a question that, in my opinion, deserves serious consideration: are we facing one of those rare moments in the fixed-income market when the opportunity is not in chasing yield, but in locking in an unusually high discount rate for a very long period of time?

My proposal is very specific: **buy the 30-year U.S. Treasury zero-coupon bond, the STRIP, at these yield levels.** Today, a \$100,000 face-value STRIP can be purchased for roughly \$20,000 in cash, depending on the exact maturity and prevailing yield. If yields continue to rise, the strategy can be extended by purchasing additional face value at progressively lower prices. For example, at a 7% yield, a \$100,000 face-value 30-year zero-coupon Treasury would cost approximately \$14,000. The idea is not to predict where yields will be next month or next year. The idea is to establish a position at what could prove to be an exceptionally attractive long-term discount rate and then simply wait.

And waiting is the most important part of the strategy.

A zero-coupon Treasury is a particularly interesting instrument because there are no coupons to reinvest and no interim cash flows to complicate the calculation. You buy the security at a deep discount and, assuming it is held to maturity and the U.S. government honors its obligation, you eventually receive its full face value. But there is another characteristic that makes the instrument much more interesting at today's yields: **duration**. A 30-year

zero-coupon bond has extremely high duration, which means that its market price is highly sensitive to changes in long-term interest rates. That sensitivity is painful when yields rise, but it becomes extremely powerful when yields fall.

Imagine, for example, buying \$100,000 of face value for approximately \$20,000 when the yield is around 5.5%. If, at some point in the future, the market's required yield on a comparable maturity falls toward 3%, the price of that zero-coupon bond could rise to roughly \$40,000, depending on the exact remaining maturity. The investor would therefore have approximately doubled the original investment without having to own a company, analyze earnings, depend on management execution or assume corporate credit risk. The return would simply come from the repricing of a very long-duration U.S. government obligation as market interest rates normalize.

That is the asymmetry that makes this interesting.

This is where the patience of Warren Buffett becomes relevant. Buffett has repeatedly demonstrated that one of the great advantages of a long-term investor is the ability to wait when other market participants cannot. The STRIP strategy requires exactly that characteristic. If yields continue to rise, the initial investment may look increasingly unattractive on a mark-to-market basis. But if the investor has deliberately structured the position so that additional purchases can be made at higher yields, rising rates can actually create the opportunity to acquire the same future \$100,000 payment at an even lower present price.

The ultimate thesis is therefore not that yields cannot rise further. They certainly can. The thesis is that the extraordinary interest-rate environment of recent years may eventually normalize. We have already lived through an extraordinary period in which investors became accustomed to exceptionally low, and sometimes even negative, interest rates. That environment encouraged investors to pay extremely high prices for long-duration assets. The opposite phenomenon can also occur: when yields become sufficiently high, the present value of distant cash flows becomes heavily discounted, creating potentially attractive entry points for investors who have the patience to hold them.

The question then becomes: what could cause long-term Treasury yields to fall?

It could be a recession. It could be a significant deterioration in economic growth. It could be a return of inflation to the Federal Reserve's target. It could be a major financial-market correction. It could be a geopolitical event that generates a traditional **flight to quality**, sending investors back toward the liquidity and perceived safety of U.S. Treasuries. I am not suggesting another COVID-like event, nor would anyone rationally wish for one. But financial markets have repeatedly demonstrated that periods of uncertainty can produce very rapid movements into high-quality government bonds. An unexpected geopolitical shock, a financial crisis, or a significant deterioration in global economic conditions could produce precisely that kind of demand.

It could even happen for reasons that are much less dramatic. Markets do not necessarily need a catastrophe for long-term yields to fall. Sometimes the economic cycle simply turns. Growth slows, inflation moderates, monetary policy becomes less restrictive and investors begin to anticipate lower rates. The important point is that we do not need to know which specific event will trigger the move. We only need to recognize that interest rates are cyclical and that today's long-term yield will not necessarily remain today's long-term yield for the next thirty years.

There is, however, one risk that should not be dismissed: the possibility of a U.S. fiscal or debt crisis. The United States has never defaulted on its Treasury obligations in the conventional sense, but "never" is a dangerous word in finance. A severe loss of confidence in U.S. fiscal management could cause Treasury yields to rise rather than fall, at least initially, and long-duration securities could suffer significant losses. It would therefore be intellectually dishonest to describe a 30-year STRIP as simply "the safest asset in the world" without qualification. Its credit risk may be exceptionally low compared with almost any other major asset, but its **duration risk is enormous**. Safety of principal at maturity and stability of market value over the next five years are two very different things.

There is also an important distinction between the short and long ends of the Treasury curve. The short end is heavily influenced by Federal Reserve policy and the current level of short-term interest rates, while the long end incorporates expectations for inflation, real interest rates, economic growth, fiscal policy and the term premium demanded by investors. A future U.S. debt or funding problem could affect the entire curve in unpredictable ways. It would therefore be a mistake to assume that long-term Treasuries would automatically be protected from every form of fiscal stress simply because

the government's immediate financing needs are concentrated at shorter maturities.

But that does not invalidate my thesis. It simply defines the risk that the investor is actually taking.

The attraction of the long-duration STRIP is precisely that it offers enormous convexity to a decline in long-term yields. If the market eventually moves from today's elevated discount rates toward something closer to the rates that prevailed during the previous decade, the price appreciation can be substantial. A move from roughly 5% to 3% may sound like a relatively modest change in percentage terms, but for a 30-year zero-coupon bond the effect on present value is enormous. This is the fundamental mathematics behind the trade: the further into the future the cash flow, the more aggressively its present value responds to changes in the discount rate.

This is why I find the current environment so interesting. We have spent more than a decade discussing how expensive long-duration assets became when interest rates were close to zero. Now we have the opposite situation. Long-term rates are high enough that a distant \$100,000 payment can be purchased today for a fraction of its eventual value. The investor is essentially buying time at a large discount.

Perhaps the opportunity will become even more attractive. If yields rise to 6%, 7% or beyond, the price of the STRIP would fall further, allowing an investor with additional capital to buy more face value at a lower price. The strategy could therefore involve gradually building the position rather than committing the entire amount at once. The objective would not be to catch the exact top in yields, because nobody knows where that top will be. The objective would be to accumulate long-duration exposure as the market becomes increasingly pessimistic about long-term rates.

Then comes the difficult part: doing nothing.

Maybe the normalization comes after the midterm elections. Maybe it comes after a recession. Maybe it follows a geopolitical crisis. Maybe it comes because inflation finally returns to a more stable level. Maybe it happens because the global economy simply enters another phase of the economic cycle. We cannot know the catalyst, and trying to predict it precisely would defeat the purpose of the strategy.

The opportunity is therefore not a prediction about tomorrow's interest rates. It is a bet on the long-term normalization of the discount rate.

Buy the zero-coupon Treasury. Buy the longest maturity you are comfortable holding. If yields rise further, the investment thesis remains intact, consider buying additional face value at the lower price. Then wait.

There is something almost counterintuitive about the strategy. In an investment world obsessed with finding the next company, the next technology, the next cryptocurrency or the next trade, the opportunity may instead be sitting in a government bond that promises a very simple outcome: a fixed amount of money at a distant date. The complexity lies not in the security itself, but in the investor's ability to tolerate the volatility between today and maturity.

Perhaps this is one of those rare opportunities that appears only once in a generation.

Or perhaps the market will prove that today's yields are not high enough.

That is the risk.

But after more than a decade of extraordinarily low interest rates, buying a 30-year zero-coupon Treasury at a deeply discounted price is, at the very least, an opportunity worth examining very seriously.

Buy the bond. Accept the volatility. And then do the hardest thing in investing: wait.

P.S. Since Spanish is my native language, I asked ChatGPT to help me translate this article into English so I could share it with a broader audience.



Written by Pablo Fuchsberger

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